

Sample Trade

“Do you feel lucky, punk?” Mary asks as she looks at her computer screen ([Figure 13.5](#)). She just finished watching a *Dirty Harry* movie and is feeling ornery.

She decides to buy the stock when price rebounds off the lower trendline. When it is clear the stock is climbing again, she pulls the trigger and receives a fill at 43. Immediately, she places a stop-loss order 15 cents below the lower trendline, at a price of 42. If things go wrong, she only will lose 3%. Then she waits.

The stock cooperates by moving higher each day. Soon it is at the top trendline, and she waits for it to ricochet off the line and begin heading down.

It doesn't. Instead, price closes above the top trendline, signaling an upward breakout. She calculates the price target, 49.63, using the formation height added to the breakout price, and that is where she places her sell order. “I'm hoping the target is a minimum price move, but it seems a long way away. It might be a maximum.”

She raises her stop-loss point to 44, slightly below the minor low in mid-April.

As the stock advances each day, she keeps wondering why it has not paused. She shrugs and does not worry about it. When the stock makes a new high at 47.38, she raises her stop to 45.25, slightly below the two minor highs in late April and mid-May.